ation for why life insurance is so important when you are young and especially when you have dependents who rely and depend on your human capital. The same ideas apply to disability, critical illness, or any other risk factors that might impede your ability to extract the most value from your human capital, but my remarks will be focused on life insurance.

The Odds of Living and Dying

When you toss a coin, spin a roulette wheel, or shuffle a deck of cards, computing or calculating the probability of getting heads, reds, or spades is straightforward. This is because the underlying "probability distribution" is well known. In fact, regardless of whether the coin, wheel, or deck is new or old, in Las Vegas or Atlantic City, the odds are much the same, and all mathematicians will agree on them.

For example, the probability of tossing two heads in a row is 25% anywhere on planet Earth, regardless of who is tossing the coin. However, when it comes to matters of life, health, and death, the situation isn't as clear. There isn't a well-defined probability distribution from which to calculate the relevant odds. The more a doctor knows about your health, income, and educational level, the better the estimate she can give you; however, it truly is only an estimate.

In the absence of detailed information, all we can do is talk about upper and lower bounds on the probability. For example, knowing only that you are a 40-year-old male living in the United States, one could say that the probability of your dying prior to your 41st birthday is somewhere between 0.10% and 0.26%. We can think of these as optimistic versus pessimistic estimates of mortality rates. If you then tell me that you are wealthier than average, or perhaps less wealthy or healthy, I may skew the number toward the lower or upper bounds. Obviously, countless factors influence how the mortality odds of any one individual look. Your education, ethnicity, health status, habits, and even your marital status all influence your probability of dying in any given year. For example, Tables 2.1 and 2.2 summarize how the level of education influences the mortality of males and females in different age groups. You can see that the probability that a male in the 35–49 age group who has not completed a high school education